GMS WEEKLY

Your Source for Recycling News

January 6th, 2023
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Week 1

Highlights:

- **Lowest supply.**
- **Freight flys.**
- **Starved.**
- **LC woes.**
- **Price hold.**
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QUOTE of the WEEK

"Not having the best situation, but seeing the best in your situation is the key to happiness."

– Marie Forleo

MARKET COMMENTARY

MISSING IN ACTION!

As we reflect on the year gone by and look forward to a busier and healthier 2023 for the various recycling destinations, 2022 has been the lowest year for more than a decade across all ship recycling locations.

All freight / dry sectors started to fly simultaneously at various points during 2022 and even the wet / tanker markets started rallying thereafter, and with stunning results. However, Container and Dry Bulk markets finally started to cool off towards the end of the year, and it is from these segments that we can anticipate seeing a majority of the recycling tonnage in 2023.

Compared to previous years, a much smaller number of vessels have been beached in India during 2022, and it is a similar story in Pakistan, Bangladesh, and even Turkey, where local Recyclers have been likewise starved of tonnage.

The financial situation in Pakistan as well as Bangladesh has started to become a real cause of concern to the industry, with governments in both countries now unwilling to sanction fresh L/Cs from their precious (and dwindling) U.S. Dollar reserves.

For the time being, the only sub-continent market of any reliability remains India, and whilst the supply of vessels remains mercifully low, prices are managing to hold up somewhat in Alang, while the number of small LDT arrivals at Chattogram's waterfront has started to pick up in 2023.

Unsurprisingly, 2023 seemed to have kicked off well in Turkey as well, as steel plate prices (both import and local steel) have reported noteworthy gains over the last couple of weeks, resulting in post-New Year prices jumping by nearly USD 40/MT, finally breaching USD 300/MT – certainly an impressive return to form.

Overall, in order for levels to maintain their present buoyancy (bearing in mind the decade average on scrap prices of around USD 350/LDT), we will need each market to be firing on all cylinders this year to absorb the expected influx of vessels that will surely be seen.

For week 1 of 2023, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Stable	520 / LDT	530 / LDT	540 / LDT
2	Pakistan	Weak	510 / LDT	520 / LDT	530 / LDT
3	Bangladesh	Weak	500 / LDT*	510 / LDT*	520 / LDT*
4	Turkey	Weak	280 / LDT	290 / LDT	300 / LDT

**Subject L/C approval*

BANGLADESH

TURNING AWAY!

No influx.

The influx of cash expected from a pending IMF loan has yet to materialise in Bangladesh, which means we are faced with a status quo in terms of governments failing to issue Letters of Credit (L/Cs) on fresh recycling units.

As such, it has been an extremely quiet end to 2022 for new vessels in Chattogram. Even some vessels that have arrived recently have reportedly been turned away and may have to head to alternative recycling locations.

Virtual closure.

The USD 1 million limitation on fresh L/Cs has resulted in a bevy of local Recyclers resorting to snagging small LDT units, just to keep their yards pre-occupied for the time-being and this this is evident in Chattogram's port report this week, with a healthy number of small LDT vessels having arrived the local anchorage this week.

Fundamentals heading into 2023 aren't too promising either, with the Taka nearly hitting BDT 104 against the U.S. Dollar, whilst local steel plate prices fell a marginal USD 5/MT as the week ended.

Overall, unless Cash Buyers can find a rare End Buyer with either private financing or willing to open a Usance L/C in Bangladesh, this is a market worth avoiding for now – especially where transactions of larger LDT units is concerned!

NO MARKET SALES REPORTED

INDIA

STEADY AS SHE GOES!

India has been the steadiest of all recycling markets, with another strong showing from local Buyers on any units being proposed. Alang has resumed their position at the top of the recycling market rankings, especially following a woeful week in Pakistan on L/C approvals / financing.

Back to top.

Several Capes and even a Panamax container have reportedly been committed to local Buyers in recent weeks as Alang Recyclers finally get their appetite back, following a year that saw a decade low volume of LDT beached locally.

Filling plots.

Fundamentals remain shaky as ever as the Rupee continues to wobble around the Rs. 82.7X mark, whilst local fundamentals dropped and gain ground again, ending the week with an overall USD 5/Ton improvement.

With more tonnage expected for recycling this year (including HKC / green recycling only units) coupled with the fact that Sellers and Cash Buyers are finally accepting the current pricing realities of the market (as evidenced by recent sales into India), it is therefore expected to be a far more dynamic market in Alang for 2023.

NO MARKET SALES REPORTED

PAKISTAN

WORRYING WEEK!

LC restrictions.

It has been a worrying week in Pakistan at the start of the year, with the government suddenly placing restrictions on fresh L/Cs, leaving several end Buyers and Cash Buyers in a lurch on recently committed units, especially the few that are already at Gadani's waterfront awaiting beaching.

Various vessels have had to be diverted from Gadani towards Alang shores, leaving Gadani Buyers empty handed once again, after what has been a dire 2022 of declines, political instability, currency chaos, and severe renegotiations that resulted into industry players avoiding this market for much of the year.

Financial uncertainty.

On the local fundamentals front, plate prices seemed to not trade as they flatlined for the week, while the PKR continues to slip into the abyss at it approaches PKR 227 against the U.S. Dollar.

Therefore, as with Bangladesh, until the financial situation resolves itself in Pakistan and L/Cs can be opened and released in a timely manner, most Owners and Cash Buyers are once again seeking to avoid the market for the time being.

NO MARKET SALES REPORTED

TURKEY

2023 SIGNS!!!

Despite the Turkish Lira dancing around a record TRY 18.8X against the U.S. Dollar, the Turkish market seems to be the only market that started 2023 with a bang as local steel plate prices climbed over USD 40/MT and nearly USD 25/Ton on local steel plate prices, all in a manner of a couple of weeks.

Steel jumps!

Given this market's comparatively stable steel fundamentals and weeks of improvements have resulted in vessel prices jumping too, and for the first time since the collapse of summer 2022, have levels finally hit USD 300/MT once again.

USD 300/MT.

With sub-continent levels still slipping to find their footing and with this most recent jump in prices from Turkey, it stands to be seen just how much more tonnage starts heading to Aliaga shores once again.

For now, however, this market seems like it is gearing up once again for a busy 2023.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Froot Loops loops are all the same flavor. No point in eating around the purple ones—all Froot Loops taste like, um, froot. Other than the Wild Berry Froot Loops, of course.*
- *Supermarket apples can be a year old. These weird facts might have you changing the way you eat. Those fresh apples aren't all that fresh, per say. They're usually picked between August and November, covered in wax, hot-air dried, and sent into cold storage. After six to twelve months, they finally land on your grocery store shelves.*
- *It's impossible to hum while holding your nose. You just tested it, didn't you? Normally, when you hum, the air is able to escape through your nose to create the sound, and of course, it can't do that when you're holding it shut. This is one of the weird facts you can test out for yourself. Go ahead, try it.*
- *Octopuses have three hearts. Squids do too. One pumps blood to their whole systems, and two are dedicated just to the gills.*
- *Most wasabi paste isn't real wasabi. Wasabi is expensive, so most companies use horseradish instead. Real wasabi is actually milder than what you've been getting with your sushi.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
January 01 – New Year's Day January 26 – Republic Day	January 04 – January 11 January 19 – January 27

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
January 01 – Bank Holiday	January 07 – January 10 January 22 – January 25

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
January 01 – 02 – New Year's Day January 21 – 27 – Spring Festival	January 01 – Bank Holiday	January 01 – New Year's Day

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ALANG - Port Position as of January 07, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Akinada Bridge	24,294	Bulk Carrier	Arrived January 05
2	Cape Osprey	21,277	Bulk Carrier	Arrived January 03
3	*Chun Ying No. 777*	*581*	*Fishing Vessel*	*Beached January 06*
4	Nix - 7	2,705	LPG	Arrived January 05
Total Tonnage		**48,857**		

CHATTOGRAM - Port Position as of January 07, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	Bhum	5,104	Container	Arrived December 21
3	*Chang Fa Hai*	*10,072*	*Bulk Carrier*	*Beached January 06*
4	De Xiang	1,820	Tanker	Arrived January 06
5	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
6	Hai Feng 698	7,240	Reefer	Arrived December 21
7	Hong Fa	2,172	Tanker	Arrived December 31
8	Joint Luck	2,063	Tanker	Arrived December 24
9	Lumo	7,987	Bulk Carrier	Arrived January 04
10	*Shun Rong*	*880*	*Tanker*	*Beached January 03*
11	Sun Shun	1,207	Tanker	Arrived January 06
12	*Sylt*	*2,002*	*Tanker*	*Beached January 03*
13	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
14	Xiang Shun	1,314	Tanker	Arrived January 06
Total Tonnage		**75,392**		

GADANI - Port Position as of January 07, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Jamila	7,700	Bulk Carrier	Arrived December 28
2	*Lila Kyoto*	*21,221*	*Bulk Carrier*	*Beached January 07*
3	Murad Bay	6,729	Bulk Carrier	Arrived December 27
4	*Traquility*	*600*	*Tug*	*Beached December 30*
Total Tonnage		**36,250**		

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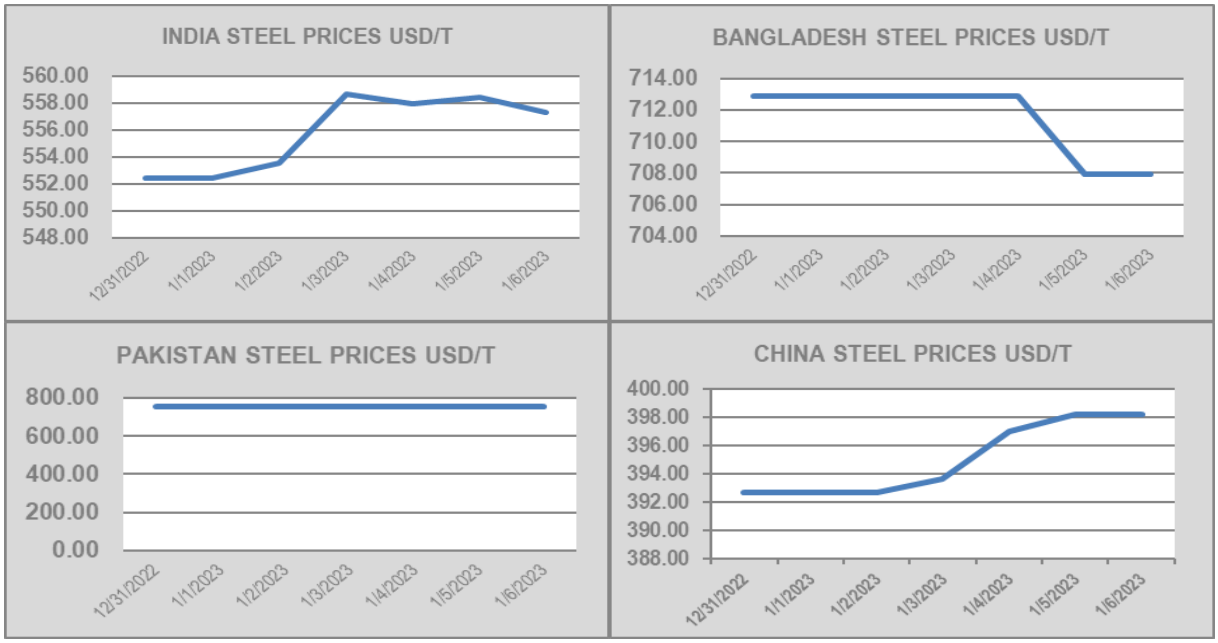
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/31/2022	552.47	45,700.00	753.05	170,000.00	712.87	72,000.00	392.70
1/1/2023	552.47	45,700.00	753.05	170,000.00	712.87	72,000.00	392.70
1/2/2023	553.54	45,800.00	753.05	170,000.00	712.87	72,000.00	392.70
1/3/2023	558.64	46,300.00	753.05	170,000.00	712.87	72,000.00	393.67
1/4/2023	557.97	46,200.00	753.05	170,000.00	712.87	72,000.00	397.07
1/5/2023	558.45	46,100.00	753.05	170,000.00	707.92	71,500.00	398.25
1/6/2023	557.30	46,100.00	753.05	170,000.00	707.92	71,500.00	398.25



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